Problem Set 3 · Preferences and rationality

Microeconomics (040184) · Group 1 · WS 2026/27 · **Deadline: Wednesday 4 November 2026, 16:45**

How this problem set works. The deadline is **Wednesday 4 November 2026, 16:45**. Work through the problems on paper first. Then enter your answers in the Moodle quiz *PS3 (Group 1)*; only the Moodle answers are graded. You may work together, but everyone submits their own answers. The Moodle quiz asks exactly the questions on this sheet that have an answer to enter. The drawings and the worked example (Problem 5, Part A) are for you, on paper. All problems are about preferences (L06). Where a problem uses an idea we have not covered in class, a blue box explains it before you need it. Problem 4 (d) and Problem 5 are optional: try them for practice; they give no points.

Problem 1 · Preferences and indifference curves

From the lecture (L06).

- $A \succsim C$: A is at least as good as C; $A \succ C$: strictly better; $A \sim C$: equally good.
- **Complete**: any two options can be compared (one is liked more, or both equally). **Transitive**: if $A \succsim C$ and $C \succsim D$, then $A \succsim D$.
- **More is better** (strong monotonicity): at least as much of everything, and strictly more of something, is strictly better.
- An **indifference curve** joins bundles the person likes equally. Curves further out are better.

(a) A friend talks about three lunch dishes: pasta, salad and soup.

1. "Pasta or salad? I like them exactly the same."
2. "Pasta or soup? I can't compare them at all; I just can't say."
3. "Salad is strictly better than soup."

Which statements show that the friend's preferences are **not complete**?

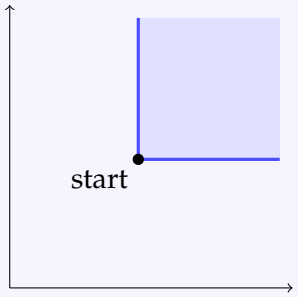
- ☐ 1 only
- ☐ 2 only
- ☐ 1 and 2
- ☐ 2 and 3
- ☐ 1, 2 and 3

More is better: what exactly does it mean? Three versions.
Do you need this box for the next question? Only version 1, which is "more is better" as we used it in class. Versions 2 and 3 show what it does *not* say. *Do we ever need to assume local non-satiation?* No: it follows from version 1 (see below).
Bundles are (cinema tickets, euros left). Start from the bundle $(7, 15)$.

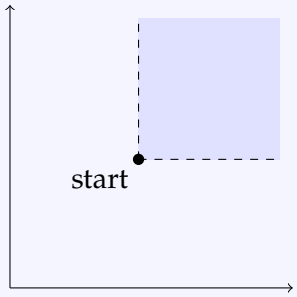
1. **More is better, strong** (strong monotonicity). At least as much of every good, and strictly more of at least one, is strictly better. Example: $(8, 15) \succ (7, 15)$: one more ticket, the same euros. **This is "more is better" as in our lectures and on this problem set.**
2. **More is better, weak** (weak monotonicity). Strictly more of *every* good is strictly better. Example: $(8, 16) \succ (7, 15)$. It says nothing about $(8, 15)$. Someone with

perfect complements (sausages and buns for hot dogs) satisfies the weak version but not the strong one: 3 sausages and 2 buns are no better than 2 and 2.

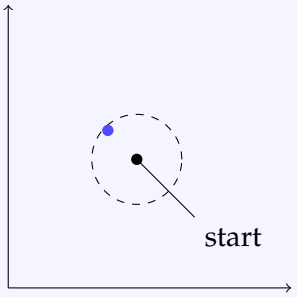
3. **A weaker cousin: local non-satiation.** However close you look around a bundle, there is a strictly better bundle nearby. It does *not* say in which direction. Example: coffees and minutes of noisy commute. More of everything is *not* better (more noise hurts), so more is better fails. But a little more coffee, or a little less noise, is always better, so local non-satiation holds.



Strong: the shaded area *and* its edges have to be better.



Weak: only the inside has to be better.

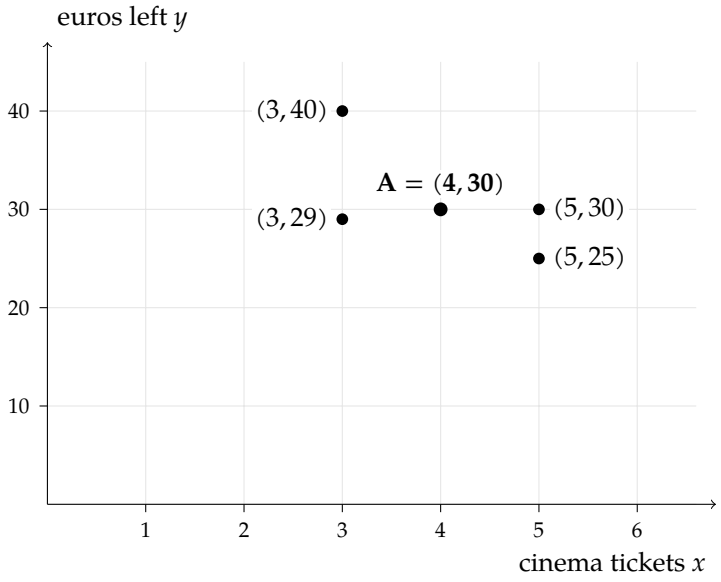


Non-satiation: something better is nearby.

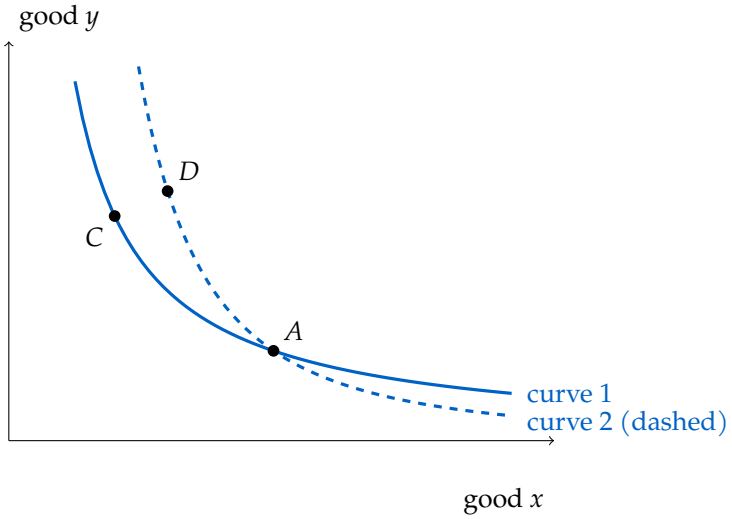
How they relate. Strong ⇒ weak ⇒ local non-satiation. None of the arrows can be reversed. So with the strong version we get the other two for free: **we never need to assume local non-satiation separately.** It matters only because it is the *weakest* version that still makes "money left over, so strictly better" work.

(b) Bundles are (cinema tickets, euros left). Your bundle is $A = (4, 30)$. Using only more is better, which of these bundles is better than A?

- ☐ $(3, 40)$
- ☐ $(5, 25)$
- ☐ $(4, 30)$
- ☐ $(5, 30)$
- ☐ $(3, 29)$



(c) A friend draws two of her indifference curves, and they cross at bundle A. C is on curve 1, D is on curve 2, and D has more of both goods than C.



1. $C \sim A$ and $A \sim D$.
2. By transitivity, $C \sim D$.
3. This drawing can come from preferences that follow our properties.

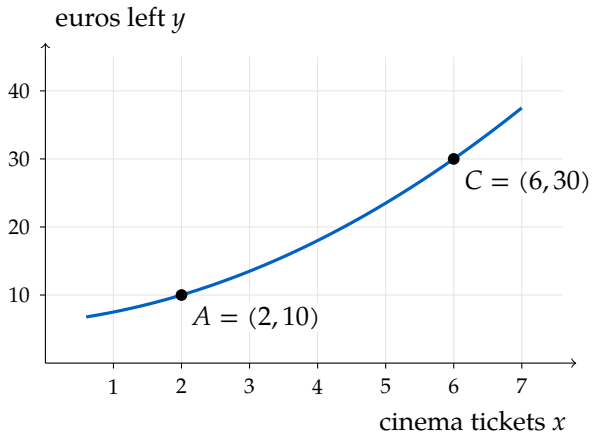
Which statements are correct?

- ☐ 1 only
- ☐ 2 only
- ☐ 1 and 2
- ☐ 1 and 3
- ☐ 1, 2 and 3

Which properties rule out this drawing?

- ☐ completeness alone
- ☐ transitivity alone
- ☐ more is better alone
- ☐ transitivity and more is better
- ☐ none: such a drawing is possible

(d) A friend draws one of her indifference curves for (cinema tickets, euros left). It slopes **upward**: it passes through $A = (2, 10)$ and $C = (6, 30)$.



(i) Compared with A, bundle C has

- ☐ less of both goods
- ☐ more of both goods
- ☐ more of one good and less of the other

(ii) Using only more is better, C is

- ☐ equally good as A
- ☐ worse than A
- ☐ strictly better than A

(iii) Because A and C lie on the same indifference curve, the friend says C and A are

- ☐ equally good
- ☐ A strictly better
- ☐ C strictly better

(iv) So an upward-sloping indifference curve breaks which property (when both are goods)?

- ☐ completeness
- ☐ transitivity
- ☐ more is better
- ☐ convexity

Problem 2 · Keep it or give it

From the lecture (L06).

- A split is *affordable* on a day if it costs at most that day's money. The *budget line* $p_x\, x + y = B$ contains the splits that use all the money.
- Preferences are **rational** if they are **complete** (any two options can be compared: one is liked more, or both equally) and **transitive** (if $A \gtrsim C$ and $C \gtrsim D$, then $A \gtrsim D$).
- **More is better**: an option with at least as much of everything, and strictly more of something, is strictly better.

New: learning preferences from choices (revealed preference).

- If a person could afford option C but chose A, the choice *reveals* that A is **at least as good** as C: $A \gtrsim C$ (*weakly* preferred).
- If, in addition, C would leave money unused while A uses all the money, and more is better for the person, then A is **strictly better** than C: $A \succ C$. (With the unused money one could have had more than C, which is strictly better than C; and A was chosen over that too.)

The story. Aman splits money between **himself** and **Tony**. Let

$$x = \text{euros Tony gets}, \qquad y = \text{euros Aman keeps}.$$

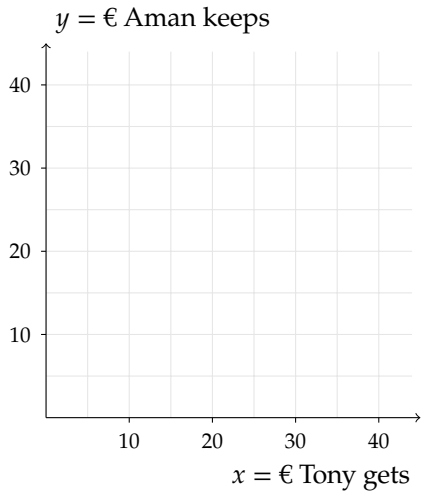
Keeping €1 costs €1. Giving Tony €1 costs p_x, and this price changes from day to day. Any money Aman does not use is **burned**: nobody gets it.

Day 1. Aman has **€40**. Whatever he sends is halved (he sends €2, Tony gets €1), so $p_x = 2$.
Day 2. Aman has **€30**. Whatever he sends arrives in full (he sends €1, Tony gets €1), so $p_x = 1$.

Assumption. For Aman, **more is better**: he likes more euros for himself *and* more euros for Tony. So an option that gives at least as much to both, and strictly more to one, is strictly better for him. In particular, he never wants to burn money.

Part A · Aman

(a) Draw the two budget lines in the graph below, with their end points.



(b) Look at two splits, $a = (15, 10)$ and $a' = (12, 8)$. Mark both in the graph. Aman prefers a to a'. Which property of his preferences makes this reasonable?

- ☐ transitivity
- ☐ more is better
- ☐ completeness

(c) In order to learn about Aman's preferences from his choices, he must be able to say, for any two options, whether he likes one more or likes them equally. Which property are we assuming about Aman's preferences?

- ☐ transitivity
- ☐ more is better
- ☐ completeness

(d) On day 1, Aman chooses $a = (15, 10)$, which uses all his €40.

(i) Is $a' = (12, 8)$ affordable on day 1?

[yes / no]

(ii) How much money would a' leave unused (burned) on day 1? € _____

(iii) Given that more is better for Aman, what does his choice on day 1 tell us?

- ☐ a is only weakly better than a'
- ☐ a is strictly better than a'
- ☐ nothing
- ☐ a' is strictly better than a

(e) On day 2, Aman chooses $b = (5, 25)$, which uses all his €30. Mark b in the graph.

(i) Could Aman afford a (his day-1 choice) on day 2?

[yes / no]

(ii) How much money would a leave unused (burned) on day 2? € _____

(iii) Given that more is better for Aman, what does his choice on day 2 tell us?

- ☐ b is strictly better than a
- ☐ nothing
- ☐ a is strictly better than b
- ☐ b is only weakly better than a

(f) Go back to day 1. Could Aman afford b (his day-2 choice) on day 1?

[yes / no]

How much money would b leave unused (burned) on day 1? € _____
Given that more is better for Aman, what does this tell us about his preferences?

- ☐ b is strictly better than a
- ☐ nothing
- ☐ a is only weakly better than b
- ☐ a is strictly better than b

(g) Put day 1 and day 2 together. Given that more is better for Aman, is Aman's altruism rational?

[yes / no]

If not, which property of rational preferences does it fail?

- ☐ completeness
- ☐ convexity
- ☐ transitivity
- ☐ it does not fail any property

Now drop *every* form of "more is better": assume nothing about it (Aman might even be happy to burn money). Could Aman's two choices come from rational (complete and transitive) preferences?

[yes / no]

Part B · Andrey

Andrey faces the same two days and more is better for him too. He chooses $(5, 30)$ on day 1 and $(8, 22)$ on day 2.

(h) Is Andrey's altruism rational?

[yes / no]

Part C · How far is Aman from rational?

Go back to Aman (Part A). On day 1 he chose $a = (15, 10)$ with €40; on day 2 he chose $b = (5, 25)$ with €30, and these choices could not come from rational preferences for which more is better. Now we ask: *how much money would we have to take away from Aman, so that his choices stop contradicting each other?* Taking money away keeps the price the same, so it shifts a budget line **inward, parallel** to itself.

(i) **Shift the day-1 line only.** On day 1 the price stays $p_x = 2$, but Aman's money is B_1 instead of €40.

(i) What does $b = (5, 25)$ cost at day-1 prices? € _____

(ii) For which amounts B_1 is b *no longer* affordable on day 1? $B_1 <$ € _____

(iii) If b is not affordable on day 1, does day 1 still tell us that a is strictly better than b?

[yes / no]

(iv) Are Aman's choices then rational?

[yes / no]

(v) As a share of the original €40: below which share is b no longer affordable on day 1? _____ (write it as a decimal).

(j) **Shift the day-2 line only** (keep day 1 at €40). On day 2 the price stays $p_x = 1$, but Aman's money is B_2 instead of €30.

(i) What does $a = (15, 10)$ cost at day-2 prices? € _____

(ii) For which amounts B_2 is a no longer affordable on day 2? $B_2 <$ € _____

(iii) As a share of the original €30: below which share is a no longer affordable on day 2? _____ (decimal, two digits).

(k) **Shift both lines by the same share.** Multiply *both* budgets by the same number e (between 0 and 1): day 1 becomes $e \cdot 40$, day 2 becomes $e \cdot 30$.

(i) For $e = 0.9$, are Aman's choices rational?

[yes / no]

(ii) Below which value of e are Aman's choices rational? (At this value itself, the contradiction is still there.) $e =$ _____

(l) What is Andrey's e (Part B)? $e =$ _____

The number e has a name. The share e at which the contradictions stop is called the **Critical Cost Efficiency Index (CCEI)** (Afriat, 1972): shift all budget lines inwards by the same share (burn budget), to just below e, and the choices could come from rational preferences for which more is better. $e = 1$: no line has to shift, fully rational. $e = 0.9$: the choices become rational once we treat just over 10 % of the money as "wasted". Economists use it to measure *how rational* people are (Choi, Kariv, Müller and Silverman, 2014, "Who is (more) rational?").

The full rule.

- Every revealed comparison "choice i is better than choice j" has a *share*: the cost of choice j at day i's prices, divided by day i's money. After the shift, the comparison still holds as long as e is at least its share.
- In general a contradiction is a *loop* of comparisons (1 better than 2, 2 better than 3, ..., back to 1). A loop breaks as soon as one of its comparisons breaks, so it disappears below the *largest* share on the loop.
- Every loop has to disappear, so

$$e = \min_{\text{loops}} \Big(\max_{\text{comparisons on the loop}} \text{share} \Big).$$

The simple version we use. On this problem set the contradictions that decide e are pairs of choices (loops of two comparisons; we checked that longer loops never decide e here). So: **for each contradicting pair, take the larger of its two shares; then take the smallest of these numbers.** For example, with only one contradiction whose shares are 0.6 and 0.9, e is the larger, 0.9.

Problem 3 · Whom to save

This is a planning exercise. No answer is morally required; we only ask whether the plans are rational.

The story. A rescue team plans how to use its time in three emergencies. Let

$$x = \text{older people saved}, \qquad y = \text{children saved}.$$

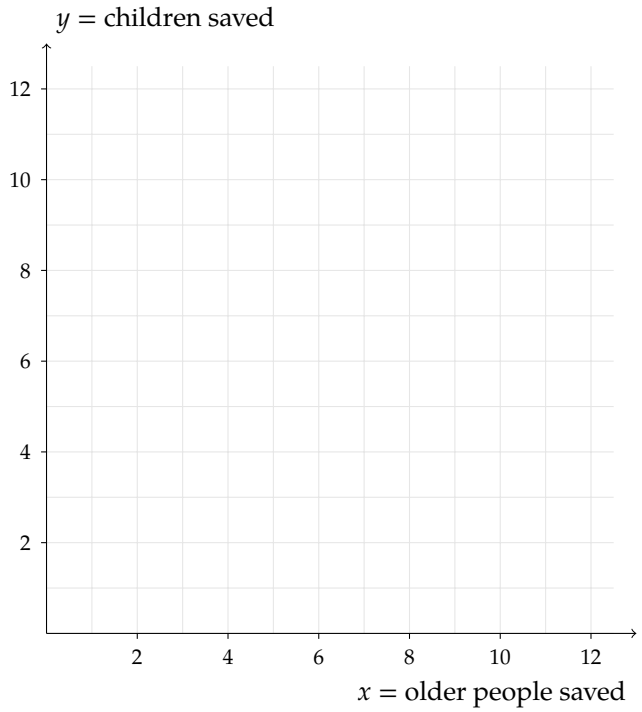
Saving a child always takes **10 minutes**. Saving an older person takes 5, 10 or 20 minutes, depending on the conditions. A plan (x, y) is **affordable** in a scenario if it takes at most the minutes available there. Minutes the team does not use are lost: nobody is saved in them.

- **Scenario 1.** The team has **60 minutes**; saving an older person takes 5 minutes: $5x + 10y = 60$.
- **Scenario 2.** The team has **60 minutes**; saving an older person takes 10 minutes: $10x + 10y = 60$.
- **Scenario 3.** The team has **120 minutes**; saving an older person takes 20 minutes: $20x + 10y = 120$.

Assumption. For the team, **more is better**: a plan that saves at least as many of both groups, and strictly more of one, is strictly better.

The team's plans. Scenario 1: plan 1 $= (2, 5)$. Scenario 2: plan 2 $= (2, 4)$. Scenario 3: plan 3 $= (5, 2)$.

(a) Draw the three budget lines in the graph, with their end points, and mark the three plans.



(b) Check that plan 3 uses all the time in scenario 3: $20 \cdot 5 + 10 \cdot 2 =$ _____ minutes.

(c) Scenario 1.

(i) How many minutes would plan 3 take in scenario 1? _____

(ii) Is plan 3 affordable in scenario 1?

[yes / no]

(iii) How many minutes would it leave unused? _____

(iv) Given that more is better for the team, what does its choice in scenario 1 tell us?

- ☐ plan 3 is strictly better than plan 1
- ☐ nothing
- ☐ plan 1 is strictly better than plan 3
- ☐ plan 1 is only weakly better than plan 3

(d) Scenario 3.

(i) How many minutes would plan 1 take in scenario 3? _____

(ii) Is plan 1 affordable in scenario 3?

[yes / no]

(iii) How many minutes would it leave unused? _____

(iv) Given that more is better for the team, what does its choice in scenario 3 tell us?

- ☐ plan 3 is strictly better than plan 1
- ☐ plan 3 is only weakly better than plan 1
- ☐ nothing
- ☐ plan 1 is strictly better than plan 3

(e) Scenario 2. Could the team have done plan 1 instead of plan 2? It takes $10 \cdot 2 + 10 \cdot 5 =$ _____ minutes. Affordable?

[yes / no]

(f) Using (c), (d) and (e): which pairs of plans contradict each other? Compare each pair using only its own two scenarios: in each of the two scenarios, was the other plan affordable? (A pair contradicts if each plan is revealed strictly better than the other, or one strictly and the other at least as good.)

- ☐ plans 1 and 2 only
- ☐ plans 1 and 3 only
- ☐ plans 2 and 3 only
- ☐ plans 1 and 2, and plans 1 and 3
- ☐ no pair

(g) How far is the team from rational? Shift all three budget lines inwards by the same share e (between 0 and 1), as if some time were burned: scenario 1 keeps $e \cdot 60$ minutes, scenario 2 keeps $e \cdot 60$, scenario 3 keeps $e \cdot 120$.

(i) For $e = 0.9$, could the three plans come from rational preferences for which more is better?

[yes / no]

(ii) What is the largest e at which they can? $e =$ _____ (decimal)

Problem 4 · Time for Valentina and Adeeb

The story. Emanuelle has two kids, Valentina and Adeeb, and some free hours each week to spend with them. Let

$$x = \text{hours with Valentina}, \qquad y = \text{hours with Adeeb}.$$

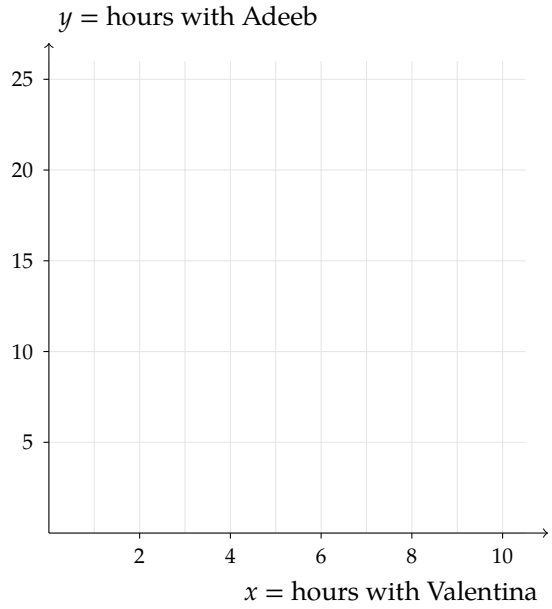
Adeeb still lives at home: an hour with Adeeb uses up one hour of Emanuelle's free time ($p_y = 1$). Valentina studies in another city, so an hour with Valentina also costs travel time: p_x is the number of free hours that one hour with Valentina uses up. Free hours Emanuelle does not use are lost.

week		p_x	B (free hours)	budget line	Emanuelle's choice (x, y)
1	by train	3	20	$3x + y = 20$	$(6, 2)$
2	Valentina is home for the holidays	1	10	$x + y = 10$	$(2, 8)$
3	train strike, slow bus	5	25	$5x + y = 25$	$(4, 5)$

Assumption. For Emanuelle, **more is better**: more time with one kid, and no less with the other, is strictly better.

Her friends say she secretly likes Valentina more. Her choices won't settle that, but they can tell us whether they could come from rational preferences.

(a) Draw the three budget lines in the graph, with their end points, and mark the three choices.



(b) How many free hours would each choice take at each week's prices? Fill in the six empty cells (the diagonal is given).

	choice 1 $(6, 2)$	choice 2 $(2, 8)$	choice 3 $(4, 5)$
week 1 prices ($B = 20$ hours)	20	_____	_____
week 2 prices ($B = 10$ hours)	_____	10	_____
week 3 prices ($B = 25$ hours)	_____	_____	25

(c) Which pairs of weeks contradict each other? Compare each pair using only its own two weeks: in each of the two weeks, was the other week's choice affordable? (A pair contradicts if each choice is revealed strictly better than the other, or one strictly and the other at least as good.)

- ☐ weeks 1 and 2 only
- ☐ weeks 1 and 3 only
- ☐ weeks 2 and 3 only
- ☐ weeks 1 and 2, and weeks 2 and 3
- ☐ all three pairs

(d) (**Optional, not graded.**) How far is Emanuelle from rational? Shift all three budget lines inwards by the same share e (between 0 and 1), as if that share of her free time were lost: week 1 keeps $e \cdot 20$ hours, week 2 keeps $e \cdot 10$, week 3 keeps $e \cdot 25$.

> **How to get** e (the simple version from the box at the end of Problem 2). Each contradiction has two shares: in each of its two weeks, the hours the other week's choice would take, divided by that week's free hours. A contradiction is gone once one of its two comparisons breaks, which happens below the *larger* of its two shares. All contradictions are gone below the *smallest* of these numbers.

Below which e could Emanuelle's choices come from rational preferences for which more is better? $e =$ _____ (decimal)

Problem 5 · Rational choice (optional, not graded)

What you need (and nothing more).

1. **Options and a menu.** A *menu* is a short, finite list of at least one option you can choose from, for example three desserts: cake, ice cream, fruit. We call options A, C, D.
2. **At least as good as.** $A \succsim C$ means: "A is at least as good as C" (you like A more than C, or equally).
3. **Strictly better.** $A \succ C$ means: "A is strictly better than C".
4. **Complete.** For any two options A and C: $A \succsim C$, or $C \succsim A$ (or both). You can always compare.
   Example: "is at least as tall as" (for any two people, one is at least as tall as the other).
   Not an example: "is taller than": two people of the same height, and neither is taller.
5. **Transitive.** If $A \succsim C$ and $C \succsim D$, then $A \succsim D$.
   Example: "is at least as tall as".
   Not an example: "won the match against": three teams can each beat one of the others in a circle.
6. **Rational choice.** From a menu, choose a *best* option: one that is at least as good as every option on the menu. In symbols, A is best on the menu if $A \succsim C$ for every option C on the menu.

Part A (worked for you): with $\succsim$, complete and transitive preferences always allow a rational choice.

Claim. If $\succsim$ is complete and transitive, then every menu has a best option.
Why, step by step, for a menu of three options A, C, D. First a small fact: completeness, used for an option and itself, gives $A \succsim A$ for every option A (every option is at least as good as itself).

1. *Compare A and C.* By completeness, $A \succsim C$ or $C \succsim A$. Call the winner W (if both hold, take either). So $W \succsim$ the other one.
2. *Compare W and D.* By completeness again, $W \succsim D$ or $D \succsim W$. Call the winner V (if both hold, take either). So $V \succsim W$ and $V \succsim D$ (if V is one of them, use the small fact above).
3. *V beats the first loser too.* From step 1, $W \succsim$ (the loser of step 1). From step 2, $V \succsim W$. By transitivity, $V \succsim$ (the loser of step 1).
4. *So $V \succsim A$, $V \succsim C$ and $V \succsim D$*: the two options of step 1 are W and its loser (steps 2 and 3), and D is covered by step 2. V is at least as good as every option on the menu: a best option. Choosing V is a rational choice. ■

With more options it works the same way: keep a "current winner", compare it with the next option, and use transitivity to pass each win along.
Why both properties matter. Without completeness, step 1 could fail: "I can't compare them". Without transitivity, step 3 could fail: in a circle, like the three teams, every option is beaten by another, and there is no best option.

Part B (your turn): start from "strictly better" instead.

Now suppose we only know $\succ$ (strictly better), and two properties of it:

7. **Asymmetric.** If $A \succ C$, then *not* $C \succ A$. (Two options can't each be strictly better than the other.)
   Example: "is taller than". *Not an example:* "is at least as tall as" (two people of the same height).

8. **Negatively transitive.** If *not* $A \succ C$ and *not* $C \succ D$, then *not* $A \succ D$.
   Example: "is taller than": if Anna is not taller than Ben, and Ben is not taller than Carl, then Anna is not taller than Carl.
   Not an example: "is at least 5 cm taller than", for people of 170, 174 and 178 cm: 178 is not 5 cm taller than 174, 174 is not 5 cm taller than 170, yet 178 *is* 8 cm taller than 170.

Build "at least as good" from "strictly better":

$$A \succsim C \quad \text{means:} \quad \text{not } C \succ A \qquad (\text{"}C \text{ is not strictly better than } A\text{"}).$$

Show that this $\succsim$ *is complete and transitive.* Then Part A applies, and every menu has a best option. (In the proof you will use definition 8 with the options in a different order: D in place of A, and A in place of D.)

(B1) **This** $\succsim$ **is complete.** Take any two options A and C. Suppose, to the contrary, that **neither** $A \succsim C$ **nor** $C \succsim A$.

(i) "not $A \succsim C$" means, by the definition:

- ☐ not $C \succ A$
- ☐ $A \succ C$
- ☐ $C \succ A$

(ii) "not $C \succsim A$" means, by the definition:

- ☐ $A \succ C$
- ☐ $C \succ A$
- ☐ not $A \succ C$

(iii) $C \succ A$ and $A \succ C$ together are impossible. Which property of $\succ$ says so?

- ☐ negatively transitive
- ☐ complete
- ☐ asymmetric

So $A \succsim C$ or $C \succsim A$: this $\succsim$ is complete.

(B2) **This** $\succsim$ **is transitive.** Suppose $A \succsim C$ and $C \succsim D$.

(i) By the definition, $A \succsim C$ means

- ☐ $C \succ A$
- ☐ not $A \succ C$
- ☐ not $C \succ A$

and $C \succsim D$ means

- ☐ not $C \succ D$
- ☐ not $D \succ C$
- ☐ $D \succ C$

(ii) Use negative transitivity (definition 8) with D, C, A in place of A, C, D: "not $D \succ C$ and not $C \succ A$" gives

- ☐ $D \succ A$
- ☐ not $D \succ A$
- ☐ not $A \succ D$

(iii) By the definition, "not $D \succ A$" means

- ☐ $A \succsim D$
- ☐ $A \succ D$
- ☐ $D \succsim A$

So $A \succsim D$: this $\succsim$ is transitive.

(B3) **The conclusion.** So this $\succsim$ is complete and transitive, and by Part A every menu has a best option. In words, with this $\succsim$, a best option on a menu is one that

- ☐ no option on the menu is strictly better than
- ☐ is the cheapest
- ☐ is strictly better than every other option